

Stereo.HCJDA 38.
Judgment Sheet
LAHORE HIGH COURT
RAWALPINDI BENCH RAWALPINDI
JUDICIAL DEPARTMENT

....

EXECUTION FIRST APPEAL NO.4 of 2023

M/S FAYSAL BANK LTD. Through its Attorneys Muhammad Azhar
Iqbal and Muhammad Rafique Ghouri

Versus

SYED MUHAMMAD JAWAD RIAZ

JUDGMENT

Date of Hearing:	06.04.2026
Appellant by:	Mr. Rahil Sikandar Khawaja, Advocate.
Respondent by:	Mr. Abdul Hameed Baloch, Advocate.

MIRZA VIQAS RAUF, J. This appeal in terms of Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (hereinafter referred to as “**Ordinance**”) assails the *vires* of order dated 27th January, 2023, whereby learned Judge Banking Court, Rawalpindi proceeded to dismiss the application for restoration of execution application moved by the appellant-Bank, holding it barred by time.

2. Facts in precision necessary for adjudication of this appeal are that the appellant instituted a suit for recovery against the respondent before the Banking Court, Rawalpindi. Suit was decreed vide judgment dated 6th February, 2016 to the tune of Rs.276,286.73 with costs of suits and costs of funds from the date of its institution till finality. The proceedings were then converted into execution and after taking some steps due to delinquent attitude of the appellant to pursue the proceedings, the execution proceedings were ordered to be consigned to record room by way of order dated 8th January, 2022. The appellant then moved an application seeking restoration of the execution proceedings but it was dismissed through impugned order.

3. We have heard learned counsel for the parties at considerable length and perused the record.

4. Suit for recovery of Rs.388,934.96 alongwith costs of funds and costs of suit was instituted by the appellant against the respondent before the Banking Court, Rawalpindi. Suit was ultimately decreed ex-parte vide judgment dated 6th February, 2016 and it was observed that after expiry of thirty days under Section 19(2) of the **Ordinance**, the decree shall be automatically converted into execution. The relevant excerpt is reproduced below :-

“In view of my above discussion the suit filed by the plaintiff is ex-parte decree to the extent of principal outstanding amount Rs.218,029.60 and markup outstanding amount Rs.58,257.13, total amount Rs.276,286.73 along with costs of suit and costs of funds from date of institution till finality of the suit. But the plaintiff does not become entitle for associated costs amount Rs. 112,648.23 consists of late fee, annual fee, FED etc
8. After expiry of 30 days, under section 19(2) of FIO, 2001 the decree shall be automatically converts into execution.
9. Decree sheet be prepared accordingly.
Proceedings are adjourned to 7.3.2016 for execution purpose”

The execution proceedings remained pending before learned Judge Banking Court, however, on 8th January, 2022 on account of absence of the appellant and non-cooperation in the execution proceedings an order for consigning the execution proceedings to record room was passed to the following effect :-

“On the previous date, on the verbal request of the counsel for decree holder, warrant of arrest of judgment debtor was ordered to be issued but, as per report of the bailiff made on the back of the warrant of arrest issued for todate, the decree holder did not coordinate/approach the bailiff for the purpose of coordination/identification of the judgment debtor so that warrant of arrest could be executed. Record reveals that long adjournment of two months was given and non-diligence shown by the decree holder suggest that he is not serious in the execution of the decree. In the given situation, the execution proceeding is ordered to be consigned to the record room.”

In order to get the execution proceedings revived, the appellant though moved an application on 21st January, 2023 but it was dismissed by way of impugned order, holding the same being barred by time.

5. We are mindful of the fact that **Ordinance** was enacted with specific purpose and object and it provides speedy mechanism for the resolution of disputes falling therein. Since the core issue before

us is related to the revival of the execution proceedings in pursuance to a decree passed by learned Judge Banking Court in the proceedings conducted under the **Ordinance**, so we would confine ourselves to that extent instead of pondering upon other aspects or delving into desultory facts.

6. Section 19 of the **Ordinance** deals with the execution of decree and sale with or without intervention of banking court. The relevant extract from the same is reproduced below :-

“19. EXECUTION OF DECREE AND SALE WITH OR WITHOUT INTERVENTION OF BANKING COURT.

(1) Upon pronouncement of judgment and decree by a Banking Court, the suit shall automatically stand converted into execution proceedings without the need to file a separate application and no fresh notice need be issued to the judgment-debtor in this regard. Particulars of the mortgaged, pledged or hypothecated property and other assets of the judgment-debtor shall be filed by the decree-holder for consideration of the Banking Court and the case will be heard by the Banking Court for execution of its decree on the expiry of 30 days from the date of pronouncement of judgment and decree:

Provided that if the record of the suit is summoned at any stage by the High Court for purposes of hearing an appeal under Section 22 or otherwise, copies of the decree and other property documents shall be retained by the Banking Court for purposes of continuing the execution proceedings.

(2) The decree of the Banking Court shall be executed in accordance with the provisions of the Code of Civil Procedure, 1908 (Act V of 1908) or any other law for the time being in force or in such manner as the Banking Court may at the request of the decree-holder consider appropriate, including recovery as arrears of land revenue.

Explanation. -- The term assets or properties in sub-section (2) shall include any assets and properties acquired benami in the name of an ostensible owner.

;
;
;

From bare perusal of subsection (1) of Section 19 of the **Ordinance** it clearly manifests that for the execution of decree passed by the Banking Court, there is no requirement of filing a separate application as in the case of decree passed in the ordinary proceedings under the Code of Civil Procedure (V of 1908) (hereinafter referred to as “**C.P.C.**”). Subsection (1) ordains that upon pronouncement of judgment and decree by a Banking Court, the suit shall automatically stand converted into execution proceedings without the need to file a separate application and subsection (2), however, envisages that decree of the Banking Court

shall be executed in accordance with the provisions of the **C.P.C.** or any other law for the time being in force or in such manner as the Banking Court may at the request of the decree-holder consider appropriate, including recovery as arrears of land revenue. In other words, while executing a decree the Banking Court is not supposed to jump into complexity of the provisions embodied in the **C.P.C.** for that purpose.

7. We are thus constrained to observe that the execution proceedings started in the first instance in terms of Section 19 of the **Ordinance** were never culminated into logical end. The proceedings were only consigned to record on account of non-diligence shown by the appellant. In such eventuality, the subsequent application seeking restoration for all intents and purposes be treated as in continuation of the original proceedings or ancillary thereto. Even otherwise, the application was for revival of execution proceedings, and by no stretch of imagination can be construed as a second execution application, so as to attract the provisions of Section 48 of the **C.P.C.** in any manner whatsoever. Guidance to the above effect can be sought from UNITED BANK LIMITED versus FATEH HAYAT KHAN TAWANA and others (2015 SCMR 1335). The relevant excerpt from the same is reproduced below :-

“11. On the other hand, when a subsequent execution application has been filed after the disposal of the first execution application, the objection of limitation may be relevant. However, even in such a case, the subsequent execution application may survive notwithstanding its belated institution beyond six years after the decree under execution, if it satisfies the test and criteria of amendment of a previously disposed of execution application that had been filed timely. In such event, the subsequent application shall be treated as a continuation of or ancillary to the decided execution application. In the present case, the first execution application has not been disposed of by a judicial order. Therefore, the second execution application filed on 16-1-1989 should plausibly be treated as a continuation thereof or ancillary thereto. Indeed, for ascertaining the legal status and effect of proceedings before a Court of law, it is the content and meaning of judicial orders about such proceedings that are determinative and not the description or name given to the proceedings by a party thereto. Therefore, in the light of the legal position of the pending execution proceedings in the present case, the descriptions given thereto by the appellant or its learned counsel are inconsequential.”

8. In somewhat similar facts and circumstances a Division Bench of this Court in the case of GHULAM FAREED versus MUSLIM COMMERCIAL BANK LTD. (2019 CLD 437) ruled as under :-

“5. The decree in this case, was undeniably passed under the provisions of special law, which provides procedure to carry out the execution. Section 19(1) of F.I.R.O. mandates that upon pronouncement of the judgment and decree by the Banking Court, the suit shall automatically stand converted into execution proceedings without the need to file a separate application and no fresh notice need be issued to the judgment-debtor in this regard. The objective of the law appears to be to provide a forum to the Financial Institutions as well as the customers against default in fulfilling of their obligations towards each other with regard to any Finances and give a special mechanism to enforce the decree. In view of the special procedure prescribed in the Ordinance, there appears to be no requirement for the decree-holder bank to file a separate execution-petition, as it is the duty of the court to itself convert the decree into execution without waiting for separate application for execution from the decree-holder. The application, even if filed by the Bank for execution, at best be construed as a request to activate the proceedings for execution, by converting the suit into the execution-petition in terms of section 19 of F.I.R.O., which had to be taken to its logical end till the decree is satisfied; and there was no room for its dismissal for non-prosecution. The act of the court, in allegedly dismissing the petition for non-prosecution, could not prejudice the decree-holder and it was for this reason, as it appeared, that the learned Judge Banking Court, on the report of Ahlmad, proceeded to rectify the error which erupted due to the act of the court and restored the proceedings to convey the execution of decree in continuation of the proceedings under section 19 of F.I.R.O. and no exception could be taken thereto.”

9. The nutshell of above discussion is that learned Judge Banking Court, Rawalpindi, while dismissing the application for restoration of execution proceedings through the impugned order has erred in law. Resultantly we **allow** this appeal and set aside the order dated 27th January, 2023, as a consequence the execution proceedings stands revived with no order as to costs.

(JAWAD HASSAN)
JUDGE

(MIRZA VIQAS RAUF)
JUDGE

APPROVED FOR REPORING

JUDGE

JUDGE